

A Tax on Luxury Goods

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Abstract

This appendix proposes a broad luxury tax as a new EU own resource, bundled with the abolition of VAT refunds for non-EU visitors, which would also generate additional revenue for member states, mostly from personal (portable) luxury goods. Both components are motivated by the finding that raising revenue via luxury taxation generates a significantly lower marginal economic burden than traditional national taxes. Luxury taxation is justified on the grounds of status externalities and progressivity, and it reaches the wealthiest without deterring investment or philanthropy. National luxury taxation is nevertheless depressed by international tax competition: for portable luxury goods, countries compete for internationally mobile shoppers; for residence-based luxury goods such as cars, they compete for high-net-worth residents. We therefore propose to implement a new EU own resource as a luxury excise on the value of an item exceeding a category-specific per-item price threshold. We propose a uniform ad valorem rate across categories as a focal point to facilitate negotiations. Economic modeling suggests that an EU-wide additive luxury tax rate of 20% is justified on the grounds of status externalities and signaling alone, while socially optimal tax rates are likely substantially higher once progressivity benefits are taken into account. A 20% rate is estimated to raise EUR 45 billion per year for the EU budget. A luxury tax restricted to a single product category would create uneven relative burdens across member states; the broad scope we propose — yachts, luxury vehicles, personal luxury items, hospitality and fine spirits — spreads the burden far more evenly relative to GDP. The countries collecting the largest revenue shares, notably France, Italy and Spain, would in addition benefit disproportionately from the concurrent abolition of VAT refunds, estimated to raise up to EUR 4 billion EU-wide. The combined reform is feasible, highly progressive and politically viable.

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1 Introduction

There are strong economic reasons, reviewed briefly below, for expecting that taxing luxury goods at a higher rate than other goods would raise social welfare. When countries set their luxury taxes individually, however, powerful tax-competition forces push these taxes down. For portable luxury goods, countries have an incentive to lower rates in order to attract and retain shoppers, and thereby to collect indirect tax revenue on the non-refundable on-site consumption that accompanies their visits. For non-portable luxury goods taxed on a residence basis, such as luxury cars, countries have an incentive to lower rates in order to attract internationally mobile high-income and high-wealth individuals. The post-Brexit abolition of VAT refunds in the UK made these spillovers highly visible: sales of portable luxury goods shifted substantially to other countries, including in continental Europe ¹.

Luxury taxes are therefore promising as an EU own resource, since a common tax would correct a distortion created by tax competition. Even a country that finds it optimal not to introduce a luxury tax of its own may find it in its interest to vote for an EU-wide one, since this prevents it from losing shoppers or residents to other member states. Put differently, each member state benefits from the luxury taxation of the others through the resulting displacement of shoppers and residents towards it. This is what makes voting for an EU-wide luxury tax attractive.

We will argue that the “bundled approach” of introducing an EU-wide luxury tax to fund the EU budget has advantages over the “separated approach” of imposing mandatory minimum luxury taxes while increasing the EU budget through traditional GNI-based contributions. In other words, the two problems — tax competition leading to the undertaxation of luxury, and unanimity constraints leading to the underprovision of EU funding — are best addressed through a single mechanism.

There are two core arguments in favor of the bundled approach. Firstly, unlike the separated approach, it does not aggravate tax competition for people with high income and wealth. Under the separated approach, mandatory minimum luxury taxes would raise the revenue such people yield, and hence the value of attracting them; countries would therefore have a stronger unilateral incentive to cut taxes on high incomes and wealth. Under the bundled approach no such aggravation arises, because each country is indifferent as to which member state collects the EU-wide luxury tax: the revenue accrues to the EU budget in any case.

This first argument shows that the aggregate welfare gains achievable under the bundled approach exceed those under the separated approach. That is desirable in itself, and it also makes unanimity easier to obtain. A second argument suggests that even setting this welfare gain aside, the bundled approach may be more likely to secure unanimity among member states.

This second argument in favor of bundling can be stated very generally: compare holding separate votes on two reforms with holding a single vote on their combination². If each reform separately commands unanimity, so should the combination; the converse, however, does not hold.

2 The proposals

2.1 The European luxury surcharge as an EU own resource

We propose a single EU-wide indirect tax, levied at a uniform ad valorem rate on the part of an item’s price that exceeds a category-specific threshold, assessed on the first supply to a final consumer or on importation, and collected by VAT-registered vendors through the existing VAT return. Its yield accrues to the EU budget as an own resource. We refer to it as the European luxury surcharge.

2.1.1 Formal definition

Definition 1 (European luxury surcharge). *The surcharge is defined by the following elements.*

- (i) Scope. *A set of product categories $\mathcal{C}$ is enumerated.*

¹Of the 162,000 non-EU tourists who claimed VAT refunds exclusively in the UK in 2019, approximately a fifth were claiming rebates in EU countries by 2023. Since this captures only EU-redirection, the true extensive margin is likely larger ?.

²Note that in our case, the bundled approach is, by the first argument, likely to yield welfare improvement over the separated approach and so the bundled approach is not just a combination of two components of the separated approach. We assume away this effect here just for analytical clarity.

- (ii) Thresholds. *Each category $c \in \mathcal{C}$ carries a threshold $\bar{p}_c$ which can be either 0 or positive. If positive, it is expressed as an amount per item before any taxes.*
- (iii) Rate. *A single rate t^{EU} applies uniformly across all categories on the value exceeding the threshold.*
- (iv) Collection. *The surcharge is declared and paid on the VAT return of the person liable, in a separate box, and is subject to the same registration, invoicing, record-keeping and audit obligations as value added tax.*
- (v) Attribution. *Amounts collected are attributed to the member state of taxation and transferred to the EU budget under the Own Resources Decision.*

2.1.2 Categories and thresholds

The categories could be specified by Combined Nomenclature (CN) codes, which already exist and are already used at import. For some categories the threshold could be set to zero, because every item in the category can be regarded as a luxury. For example:

- CN 7113/7114/7116 (jewellery, articles of precious metal, precious stones)
- CN 9101/9102 (watches with precious-metal cases),
- CN 4303 (furskin apparel)
- CN 8802 (aircraft, private use)

Many other categories contain both goods that are clearly luxuries and goods that arguably are not. For these, positive per-item thresholds are essential. Examples include:

- CN 8703 (passenger vehicles)
- CN 8903 (yachts and pleasure craft)
- CN 2204/2208 (wine and spirits)
- CN 9701-9706 (art, antiques)

Services (luxury hotels, cruises, fine dining) have no CN code and would require a definition by price, for instance per night or per cover.

Specific proposals for thresholds could be anchored in values already in use elsewhere. Korea's Individual Consumption Tax applies to watches and bags above roughly €1,300 and to jewellery, fur and leather goods above roughly €3,200. France's *taxe forfaitaire sur les objets précieux* applies to jewellery, watches, art and antiques above €5,000 per item, with the threshold assessed object by object except where the objects form a coherent set. India's tax collected at source on luxury goods applies above roughly €10,000, uniformly across its notified list of watches, art, collectibles, yachts, bags and footwear. For accommodation, Florence's *imposta di soggiorno* is assessed directly against the net price per guest per night, in bands whose highest begins at €200.

For motor cars the comparators are more dispersed: Australia's Luxury Car Tax threshold stands at roughly €46,000, rising to roughly €69,000 for zero-emission vehicles; Canada's at roughly €65,000; China's at roughly €110,000; and Greece's at €17,000. Denmark's registration tax, the closest European analogue to a graduated luxury rate on vehicles, reaches its 85 per cent bracket at roughly €8,200 and its top 150 per cent bracket at roughly €25,500, once its VAT-inclusive base is restated net of VAT. Canada applies a separate and much higher threshold of roughly €156,000 to vessels.

All the price thresholds should be indexed to inflation.

2.1.3 The case for a uniform tax rate

From the perspective of aggregate welfare alone, it might be optimal to differentiate rates substantially across luxury goods, to the extent that they differ in how far their consumption is motivated by status and in how strongly it correlates with income and wealth. A new EU own resource is nevertheless likely to be easier to adopt in the simple form of a single rate. The burden of taxes on luxury cars falls disproportionately on Germany, whereas that of taxes on portable luxury goods falls disproportionately on France, so negotiations over rate differentiation would have a partly zero-sum character. A uniform rate is a natural focal point. Moreover, a uniform rate might lead to a relatively balanced distribution of tax burdens, as the estimates in section 8.2 suggest.

2.2 Abolishing the VAT refunds

We propose to combine the introduction of the European luxury surcharge with an EU-wide abolition of VAT refunds to departing non-residents. Such refunds mostly concern luxury goods, since only for high-value items is it worth the traveler’s while to carry the goods home and reclaim the tax.

3 Adoption

Both proposed reforms — the EU-wide luxury excise and the abolition of VAT refunds — require unanimity among member states. We propose to bundle the two reforms to improve the chances of reaching unanimity.

We are aware of no paper or report questioning the legality of abolishing VAT refunds or of taxing luxury at high rates. Consistently with this, no country objected when the UK abolished its own refund scheme after leaving the EU.

4 Alternative design options

In the proposal as formulated above, the European luxury surcharge is implemented as an excise.

5 The tax base

This annex proposes a broad luxury tax as a new EU own resource, implemented as an excise assessed by VAT-registered retailers on the VAT-exclusive taxable amount and remitted on the VAT return. A list of product categories would be defined, each with a per-item price threshold, and a uniform ad valorem rate applied to the excess over that threshold.

Table 1: EU-27 spending on high-end and luxury goods and services by sector (2024E/2025), net of VAT and consumption taxes

Sector	EU-27 spending (EUR bn/yr)
Automotive	111
Personal luxury goods	81
Hospitality (hotels, cruises)	54
Yachts	25
Fine wines and spirits	22
Gourmet food and fine dining	18
Design and furniture	11
Total, goods and services	322

Notes: Own calculations. Global sector values from ? are multiplied by the share purchased in Europe (published for personal luxury goods: 30.3%, ?; constructed for other sectors) and by the EU-27 share of Bain’s Europe perimeter (74%; excluding the UK, Switzerland, Turkey and Norway). The automotive figure is the brand-based perimeter; the vehicle-segment luxury tier is roughly EUR 20 bn. The hospitality share is assumed (not published). Memo items outside the ECCIA sector perimeter: art and antiques $\approx$ EUR 5 bn; business aviation $\approx$ EUR 2 bn. The yacht figure is estimated separately as a flow of consumption. It is a territorial (destination-basis) estimate of yacht-related consumption in EU waters for yachts above 10 m, based on the Italian tax introduced in 2012.

6 The case for luxury taxation

6.1 The progressivity motive

Luxury consumption is correlated with high income, so luxury taxation is progressive and looks promising to the extent that the existing tax system is insufficiently progressive. A standard objection is that the existing system is itself the outcome of historical learning and societal deliberation, which have already traded the benefits of progressivity against its costs. Progressive luxury taxation weakens work incentives much as a

progressive income tax does, and it likewise makes a country less attractive to high earners deciding whether to stay or to move there. The clearest theoretical distillation of this argument is provided by ? : under some technical assumptions, any redistribution achieved via a tax reform making commodity taxation progressive can be achieved more efficiently by instead equalizing tax rates across all goods and directly making the income taxation more progressive.

The Kaplowian argument stands on firm ground when applied to unilateral national tax policy. Importantly, it does not require work disincentives to be the main force limiting the optimal taxation of income. The argument is in fact even more direct when the binding constraint is the international mobility of high earners: progressive commodity taxation, like progressive income taxation, makes a country less attractive to them. To maintain a given level of attractiveness, a country is therefore best off taxing all commodities at the same rate, so as to leave consumption choices undistorted, and setting the income tax at the highest level of progressivity compatible with that target.

These arguments have to be qualified, however, when the object is an EU-wide tax. Precisely because the progressivity of income taxation has been eroded by tax competition for internationally mobile high earners, particularly within the EU (?), luxury taxation can play an important role in partially offsetting this lack of progressivity. It could be objected, again on Kaplowian grounds, that the answer is instead a progressive EU-wide income tax. But agreeing on a common income tax base is a daunting challenge, and the complexity involved is well recognised by the most prominent proposals for an EU-wide additive tax on high incomes: ? propose to create a new legislative body, parallel to the European Parliament, to deliberate on such complex fiscal questions. Against that benchmark, agreeing on a set of goods to be defined as “luxury” for the purposes of an EU-wide additive own resource looks relatively straightforward.

Moreover, progressive commodity taxation has an advantage over progressive income taxation: it acts in part like a progressive tax on wealth, since luxury spending is positively correlated with wealth and the tax reduces the purchasing power of that wealth (?). The lack of progressivity in wealth taxation that results from the international mobility of the wealthy (?) therefore provides a further rationale for progressive commodity taxation. Importantly, this form of quasi-wealth redistribution does not affect incentives to save or invest, in contrast to an actual tax on wealth. As a result, many of the concerns that have led to opposition to wealth taxation (see e.g. the recent discussion in France) do not apply to luxury taxes. In addition, luxury taxation does not reduce private philanthropy, in contrast to progressive taxes on income and wealth.

Determining optimal luxury taxation on these progressivity grounds is a challenging task, beyond the scope of this report. We instead derive an optimal rate under a deliberately conservative approach that sets the progressivity arguments aside. That approach, explained in the next section, rests entirely on a different rationale: signaling and status externalities. As we shall see, it also shows that even if optimal progressivity of income and wealth taxation were achieved at the EU level, substantial EU-wide additive luxury taxes would remain efficiency-enhancing.

6.2 The optimal taxation of status goods

A further rationale for taxing luxury goods arises from signaling and status externalities. For some luxury goods, there is strong evidence that part of the motivation for buying them derives from what the purchase reveals to others: about the buyer’s income or wealth, or, in the case of a gift, about the giver’s commitment. That information is still revealed when the tax on the good rises. In the extreme case of a “pure diamond good” (?), where signaling is the only motive, any tax increase is beneficial: the same information is transmitted with fewer resources devoted to the good. In the more realistic case of an impure diamond good, where signaling coexists with the intrinsic enjoyment of the good, the optimal tax rate is finite.

A related model posits that luxury goods confer status benefits on the consumer, through the signaling of income or wealth, but that these benefits are fixed-sum in the aggregate. Luxury consumption then creates a classical externality, calling for a Pigouvian correction. For empirically plausible elasticities, the optimal rate in this status-externality model turns out to be close to that in the impure diamond-good model. For reasons of tractability, we report results for the status-externality model, derived by ?.

The critical parameter for computing the optimal tax turns out to be the answer to a single question: per euro spent on a luxury good, how many euros of benefit, ϕ , does the consumer derive from the status that the purchase confers, for instance through the signaling of income or wealth? This parameter is in general difficult to estimate. ? exploit a rare opportunity to do so: in a randomised experiment, consumers were

offered functionally equivalent platinum credit cards, in one arm visibly branded as such and in the other not. The experiment implies $\phi = 1/3$.

From ? we obtain a simple formula for the optimal tax on luxury, t_{luxury} , as a function of the tax prevailing on other goods, $t_{\text{other goods}}$, the prevailing markups, and the status parameter ϕ defined above:

$$1 + t_{\text{luxury}} = (1 + t_{\text{other goods}}) \frac{1}{1 - \phi} \frac{1 + \text{markup}_{\text{other goods}}}{1 + \text{markup}_{\text{luxury}}}$$

This yields $t_{\text{luxury}} = 0.42$ for the following estimates from ?:

$$t_{\text{other goods}} = 0.18, \phi = 1/3, \text{markup}_{\text{other goods}} = 0.12, \text{markup}_{\text{luxury}} = 0.4$$

Under this calibration, luxury goods should be taxed at 42%. The calculation ignores the rationales set out above beyond status effects, and should therefore be read as a conservative estimate. Allowing for the erosion of income and wealth tax progressivity by tax competition, together with the correlation between luxury consumption and high income and wealth, would point to potentially much higher optimal rates.

6.3 The self-interested case

Our discussion so far has concerned the optimal taxation of luxury under hypothetical global coordination. We now turn to findings from ? which suggest that, for personal luxury goods, countries acting unilaterally end up with luxury taxes below the globally optimal rates³. These findings are approximately independent of the status/signaling parameter ϕ introduced above. They therefore provide a robust case for EU-wide luxury taxation.

The rationales set out above for taxing luxury consumption more heavily than other goods apply to each country individually. A country's population benefits when status externalities — which plausibly arise mainly from comparisons among people living in the same country — are taxed and thereby corrected.

Three further effects, however, enter any country's calculation of how to set its luxury tax on purchases made in its own territory so as to maximize national welfare:

- 1) The profits generated by the markups on luxury goods and services accrue partly to residents of other countries.
- 2) Part of the luxury consumption is undertaken by visitors from other countries, who therefore bear part of the tax burden.
- 3) Increases in the luxury tax lead people, whether resident consumers or potential visitors, to make their luxury purchases in another country.

Effects 1) and 2) create national incentives to set the luxury tax high. If effect 3), which pushes in the opposite direction, were sufficiently weak, theory would predict that national governments set their luxury taxes above the globally optimal level. However, ? provide an empirically calibrated model, for portable personal luxury goods, in which 3) is stronger than 1) and 2) combined. Tax competition therefore distorts national luxury taxes downwards, which is a strong rationale for setting a luxury tax at EU level. Specifically, the model implies that the marginal cost of raising one euro through an EU-wide luxury tax, starting from a situation in which VAT refunds have been abolished, is EUR 0.88⁴. This estimate implies that it is 12% cheaper for the EU to raise funds through luxury taxation than through GNI-based contributions.

Importantly, this estimate — that a marginal euro of revenue from an EU-wide luxury tax costs EU countries only 0.88 euros — already accounts for some of the main effects commonly, and justifiably, adduced against such taxes in Europe. Firstly, the underlying model captures the effects on the EU's luxury industry through a markup accruing to luxury producers that is higher than in other sectors, reflecting the strong brand-based differentiation characteristic of the industry. Secondly, the model takes into account the diversion of shopping to countries such as the UK, Switzerland and the Gulf states, and the fact that such diversion reduces member states' VAT receipts on the non-refundable consumption of luxury shoppers.

³For example, ? suggest that France's current standard VAT rate is almost exactly France's unilateral optimum. For Germany, Spain and Italy the unilateral optimum is above the status quo but still much below the global optimum.

⁴It must be emphasized that there is large uncertainty associated with this estimate. We have not found any other estimate in the literature. The 0.88 estimate based on the model ? is for a specific category of luxury (namely luxury leather goods) as a proof-of concept. The calibration can be straightforwardly extended to other categories with substantial additional data work.

7 Effects on global welfare

Some luxury goods, jewellery in particular, carry large negative externalities, owing to the role of precious stones in financing conflict (?) and in undermining democratic accountability (?), as the large literature on the “resource curse” documents (??). This is a further reason to expect the optimal rates on the goods concerned to exceed the rate calculated above from signaling and status externalities alone.

Moreover, EU luxury taxes could benefit other countries whose own luxury tax revenue is eroded by travelers smuggling goods bought in the EU. At present, non-EU residents obtain a full refund on their luxury purchases in the EU when they return to their country of residence. This leaves a wide margin for those who smuggle such goods back to countries like China and resell them there. Since auditing travelers extensively is costly, there are strong incentives not to declare purchases at customs and thus to evade the high domestic taxes, particularly in China. This has led the Chinese government to lower its luxury tax rates ⁵ in an attempt to reduce the incentives for smuggling.

Abolishing VAT refunds for departing non-residents would therefore allow countries such as China to tax luxury goods at whatever rate they deem appropriate, to their own benefit. To see why, note that a potential smuggler weighs the margin earned by reselling in China against the cost: the stress of acting illegally and the small chance of being caught in an audit. Removing the EU refund reduces that margin, and hence the number of people who choose to smuggle. China could in addition raise its luxury tax by the amount of the current EU refund without increasing the net incentive to smuggle, and hence without increasing the volume smuggled.

Removing EU VAT refunds would thus benefit other countries by letting them set their luxury tax rates with less of the distortion created by smuggling. It would also raise economic welfare directly, by reducing smuggling and releasing the labor currently expended on it for productive uses.

8 Revenue estimates

8.1 Aggregate revenue estimate

Our proposed excise involves category-specific price thresholds, with a uniform ad valorem rate applied to the value exceeding the relevant threshold. Setting these thresholds category by category is beyond the scope of this report. We instead provide a rough estimate of the revenue potential of luxury taxes, assuming hypothetically that the thresholds are set to zero but that the product categories are defined so as to correspond to the luxury perimeter of our data sources. If thresholds are in practice set at a relatively low level, the results presented here should be a good approximation.

For each category, let us assume that pre-tax prices are unaffected by the luxury taxes. ⁶ Consider the case of a luxury good (e.g. luxury cars) that is bought only by residents. Let us assume that the demand has constant price elasticity denoted by ϵ . Denote the pre-tax price of the good by p , country i ’s own ad valorem⁷ tax on luxury goods by t_i , and the additive EU-wide VAT by t_{EU} . The quantity consumed can then be written in terms of its status quo value Q_i^0 :

$$Q_i = Q_i^0 \left(\frac{1 + t_i + t_{EU}}{1 + t_i} \right)^\epsilon$$

Let $T_{i,EU}$ denote the revenue from the EU-wide tax collected by country i . We get:

$$T_{i,EU} = t_{EU} p Q_i = t_{EU} p Q_i^0 \left(\frac{1 + t_i + t_{EU}}{1 + t_i} \right)^\epsilon$$

⁵Like most of the countries outside of the EU, China has luxury taxes. Since 1994, China has levied a *consumption tax* (CT) on 15 categories of goods—including tobacco, alcohol, cosmetics, jewelery, luxury watches, yachts, and passenger vehicles—collected primarily at the production or import stage rather than at retail (??). For passenger cars, the CT is graduated by engine displacement, ranging from 1% for engines below 1.0 L to 40% for engines above 4.0 L. In addition, since December 2016, a 10% surcharge applies to “super-luxury” vehicles above a price threshold, originally set at RMB 1.3 million (VAT-excluded) .

⁶This happens in monopolistic competition models, used e.g. by ? for the analysis of luxury good taxation.

⁷This includes both VAT and excises where they exist.

Now denoting by R_i^0 the status quo spending on the luxury good category by country i , we get $R_i^0 = pQ_i^0(1 + t_i)$. Given our assumption that both the pre-tax price p and the country's own tax rate are unaffected by the EU-wide additive ad valorem tax, we can thus write:

$$T_{i,EU} = t_{EU} \frac{R_i^0}{1 + t_i} \left(\frac{1 + t_i + t_{EU}}{1 + t_i} \right)^\epsilon$$

Rearranging gives:

$$T_{i,EU} = \frac{t_{EU}}{1 + t_i + t_{EU}} R_i^0 \left(\frac{1 + t_i + t_{EU}}{1 + t_i} \right)^{1+\epsilon}$$

Calibrating the price elasticity of demand for luxury goods For portable personal luxury goods, arguably the most directly relevant tax-base elasticity comes from the UK Office for Budget Responsibility's review of the abolition of the VAT Retail Export Scheme (OBR, 2024). The OBR's original 2020 costing assumed an elasticity of -1.9 , itself a 50% scale-up of a UK tourism elasticity of -1.28 intended to capture the greater price-sensitivity of tax-free luxury shoppers; on review the OBR judged this too high and revised its central estimate to approximately -1.2 . It is important to read this figure for what it measures: a *tax-base* elasticity that bundles the pure consumption response together with the diversion of tourist purchases to competing destinations—above all to Paris and Milan, which retained tax-free shopping when the UK withdrew it. The estimate is therefore dominated by a *destination-substitution* margin that is specific to a unilateral national measure.

For an EU-wide luxury surcharge the relevant elasticity is likely to be substantially smaller in absolute value. The -1.2 estimate is large precisely because a non-EU visitor deciding where to buy a handbag could avoid the UK price increase by purchasing in another European capital at no cost to their itinerary; the tax fell on one destination while its closest substitutes remained untaxed. A harmonised surcharge applied simultaneously across all 27 member states closes exactly this margin: intra-EU relocation of purchases no longer avoids the tax, and only the two weaker channels remain—genuine reductions in consumption, and diversion to destinations outside the EU (principally the UK, Switzerland, and the Gulf and Asian luxury hubs). Since a large share of the leakage embodied in the OBR figure is intra-European, the own-price elasticity of the EU-wide tax base should be expected to lie well below 1.2 in magnitude, closer to the underlying consumption elasticity of personal luxury goods, with only a modest additional wedge for extra-EU diversion.

Theory also provides a prior on ϵ . For “pure diamond goods” (?), where the only motivation is to signal through the spending itself, $\epsilon = -1$. In the realistic case where consumers are also motivated in part by the intrinsic enjoyment of the good, the elasticity can lie below or above -1 . The econometric estimates find demand to be inelastic, i.e. less elastic than 1 in absolute value:

A conservative revenue estimate Consider the case $\epsilon = -1$ for every luxury category. As far as revenue potential is concerned, this is conservative: the evidence above suggests that $\epsilon > -1$, which would imply more revenue from the EU-wide additive tax. The formula derived above then gives the revenue from the EU-wide tax as a function of status quo consumer spending R_i^0 , the status quo national tax rate t_i , and the EU-wide rate t_{EU} :

$$T_{i,EU} = R_i^0 \frac{t_{EU}}{1 + t_i + t_{EU}}$$

The revenue generated by the EU-wide tax is increasing in t_{EU} and approaches €322 billion as the rate goes to infinity.

We now compute the revenue for the case where all member states apply the average statutory rate on luxury goods, i.e. 22% (Tax Foundation):

$$\sum_{i \in EU} T_{i,EU} = \sum_{i \in EU} R_i^0 \frac{t_{EU}}{1 + 0.22 + t_{EU}} = 322 \cdot \frac{t_{EU}}{1.22 + t_{EU}}$$

Table 2: Category-level own-price elasticities of demand, luxury-relevant categories

Category	Category-level price elasticity of demand	Source
Jewellery & watches (US, PCE aggregate, 1947–2004)	−0.38 short run; −0.17 steady state	Taylor & Houthakker (2010), <i>Consumer Demand in the United States</i> , 3rd ed., Table 15.15, doi:10.1007/978-1-4419-0510-9
Gold imports, jewellery-dominated (India, aggregate)	≈ -0.5 to -1.0 long run; more elastic in the short run ^a	Kanjilal & Ghosh (2014), <i>Resources Policy</i> 41, 135–142, doi:10.1016/j.resourpol.2014.05.003
Wine (aggregate consumption)	−0.69 (mean of reported estimates)	Wagenaar, Salois & Komro (2009), <i>Addiction</i> 104(2), 179–190, doi:10.1111/j.1360-0443.2008.02438.x
Spirits (aggregate consumption)	−0.80 (mean of reported estimates)	Wagenaar, Salois & Komro (2009), <i>ibid.</i>
New passenger vehicles (US, whole market)	−0.34 (long run)	Leard (2022), <i>J. Assoc. Environ. Resour. Econ.</i> 9(1), 27–49, doi:10.1086/715814

Notes: Only estimates at whole-category aggregation are included, as inter-brand substitution inflates $|\epsilon|$ relative to the response to a category-wide tax.

Setting $t_{EU} = 0.2$ brings the overall ad valorem rate to 42%, the conservatively estimated optimum of ?. Aggregate revenue from the EU-wide luxury tax is then:

$$\sum_{i \in EU} T_{i,EU} = 322 \cdot \frac{0.2}{1.42} = \text{€45 billion.}$$

Further revenue potential The estimate of €45 billion is conservative in at least two ways. Firstly, the (surprisingly weak) empirical evidence surveyed above is consistent with demand being substantially less elastic than the value $\epsilon = -1$ that we assume. This would make the theoretical maximum *revenue potential* larger than the €322 billion obtained for $\epsilon = -1$.

Of course, the socially optimal tax on luxury goods is likely to lie well below the revenue-maximizing rate. Beyond some point, high luxury tax rates would weaken work incentives for those high earners who are motivated by the intrinsic enjoyment they derive from luxury consumption. Yet since tax progressivity in the EU has been pushed down by competition for people with high income and wealth, the optimal luxury tax is likely to be substantially above the 42% justified by status externalities alone. In the limiting case where the price elasticity of overall luxury demand is close to zero, a luxury tax could make up for most of the missing progressivity of income and wealth taxation in the EU.

Quantifying the overall optimal luxury tax is beyond the scope of this report. The revenue potential under the above assumptions can nonetheless be illustrated:

At an additive EU-wide luxury tax of $t_{EU} = 0.4$, revenue would be €80 billion.

At $t_{EU} = 0.6$, it would be €106 billion.

8.2 Revenue collected by Member State

As motivated above, this report proposes a uniform EU-wide rate across all luxury goods, funding the EU budget as an own resource. An important design choice implicit in the proposal is to bundle all luxury tax bases together, rather than to put forward taxes on specific categories as separate proposals. The estimates below provide one motivation for this bundling: the revenue collected, and hence contributed to the EU budget, is not far from proportional to GDP.

Under two reasonable assumptions, this purely descriptive finding suggests that the proposal has some promise of garnering unanimity, provided countries are well informed about their own interest. Firstly, assume that the benefits of EU spending are roughly proportional to GDP; this is plausible for the international public goods to which the EU contributes, such as pandemic prevention and preparedness. Secondly, assume

that the tax burden is roughly proportional to the revenue collected. The second assumption is not exact, since the burden has other components, most notably foregone profits and the international displacement of consumers; but it is likely to be a decent first approximation to the distribution of burdens across countries.

Under these two assumptions, at a given aggregate benefit-cost ratio the proposed reform — an additive EU-wide luxury tax funding the EU budget — is more likely to garner unanimity when the ratios of tax revenue to GDP are less dispersed across countries. To see why, note that additional own resources either expand EU spending or replace residual contributions proportional to GNI, which is itself close to GDP. If every country had the same ratio of revenue collected to GDP, rational voting would yield unanimity as long as the aggregate benefit-cost ratio exceeded 1 — which is highly plausible, as we argue below.

We define luxury goods and services by the list of categories given above: automotive, personal luxury goods, hospitality (hotels and cruises), yachts, fine wines and spirits, gourmet food and fine dining, and design and furniture. The estimates below are aggregates across all of them.

Member state	Base € bn	Rev. %	GDP %	Ratio	Member state	Base € bn	Rev. %	GDP %	Ratio
France	62.0	20.7	16.3	1.27	Romania	3.2	1.1	2.2	0.49
Germany	57.7	19.3	24.5	0.79	Finland	2.9	1.0	1.6	0.61
Italy	56.5	18.9	12.3	1.54	Hungary	2.5	0.9	1.1	0.78
Spain	30.9	10.3	8.7	1.19	Croatia	2.3	0.8	0.5	1.55
Netherlands	11.0	3.7	6.0	0.61	Luxembourg	1.8	0.6	0.5	1.21
Austria	9.9	3.3	2.8	1.18	Bulgaria	1.6	0.5	0.6	0.88
Belgium	9.8	3.3	3.5	0.93	Cyprus	1.5	0.5	0.2	2.44
Poland	8.0	2.7	4.7	0.57	Slovakia	1.3	0.4	0.7	0.63
Sweden	7.1	2.4	3.0	0.79	Slovenia	1.1	0.4	0.4	0.93
Portugal	6.4	2.1	1.6	1.34	Malta	0.9	0.3	0.1	3.11
Greece	6.3	2.1	1.3	1.61	Lithuania	0.8	0.3	0.5	0.53
Czechia	4.6	1.5	2.0	0.77	Estonia	0.5	0.2	0.2	0.91
Denmark	4.2	1.4	2.3	0.62	Latvia	0.5	0.2	0.3	0.55
Ireland	3.8	1.3	3.0	0.43	EU-27	299	100	100	

Table 3: EU-27 luxury tax base by member state, €bn per year, net of VAT. “Rev. %” is the share of total revenue collected; “GDP %” the member state’s share of EU-27 GDP in 2024; “Ratio” the former divided by the latter. The estimates apply to the case of a small tax, where tax revenues are proportional to the status quo tax base. The estimates use data from [Eurostat \(2024\)](#), [ACEA \(2026\)](#), [ECCIA–Bain report \(2025\)](#) and ad hoc assumptions that would take too much space to detail here. All details are available upon request.

Setting aside the small countries Cyprus and Malta⁸, the highest ratio of a country’s implied share of luxury tax revenue to its share of EU GDP is 1.61, for Greece. Under rational voting, and given the assumptions above, unanimity therefore holds if and only if one euro of EU spending yields at least €1.61 in benefits for EU countries overall.

In reality, the prospect of unanimity is of course not determined by the largest relative burden alone, since countries with somewhat lower relative burdens, such as Croatia, could also oppose the reform. Broadly, then, low dispersion in the ratio of revenue share to GDP share is favorable for unanimity. This dispersion turns out to be 36% lower than the average dispersion that would result from considering each sector separately.⁹ The reason is that the sectors are far from perfectly correlated. For example Germany bears a disproportionate part of the burden from luxury car taxation and a relatively small part of the burden from personal luxury good taxation, whereas the reverse is true for France.

8.3 Should countries with high relative tax burden be compensated?

A natural way of compensating countries with a high relative tax burden would be to reduce their required GNI-based contributions. If countries believe that own resources substitute one for one for GNI-based

⁸Correspondingly small ad hoc transfers could be appropriate to compensate these two countries.

⁹A standard way of measuring the dispersion is via the GDP-weighted coefficient of variation of the ratio. For this we get: A base-weighted average of the sector variances would imply an aggregate CV of 0.557; the actual aggregate CV is 0.354. Roughly 36% of the dispersion cancels when the sectors are combined.

contributions, this would help in securing unanimity. The approach has a substantial downside, however: it would aggravate tax competition for people with high income and wealth. To see why, consider the extreme case where the GNI-based contribution is fully adjusted so that each country ends up making a net contribution to the EU budget corresponding to its GNI share. In this case, a country de facto gets to fully keep every euro of additional luxury tax revenue, given that it gets compensated one for one for exceeding the tax revenue corresponding to its GNI share. The country would therefore have an incentive to lower its taxes on high incomes and wealth, since attracting such people becomes more rewarding given their disproportionate spending on luxury goods.

This detrimental effect scales with the size of the country's luxury tax base. A pragmatic approach is therefore to use this form of compensation only for countries that are sufficiently small in that sense and sufficiently disproportionately burdened by the luxury tax. Doing so can improve the chances of reaching unanimity without compromising much of the welfare gain the reform can achieve.

9 The case for using the luxury tax as EU own resource

Tax competition between member states undermines their unilateral incentives to introduce and raise luxury taxes. This international spillover suggests that member states could gain in aggregate by raising luxury taxes jointly, even where no country would find it in its interest to act alone — which motivates the proposal for a new EU-wide ad valorem luxury excise. Empirically calibrated modeling (?) suggests that some countries would already benefit from introducing luxury taxes unilaterally; but the collective economic gains are much larger.

The introduction of such a new additive EU-wide luxury VAT¹⁰ requires unanimity between member states for EU-wide adoption.¹¹ Other things equal, unanimity is easier to obtain when the revenue raised creates large collective benefits. Directing the revenue to the EU budget as an own resource, as we propose, may therefore make it more likely that all member states vote in favor.

9.1 Bundling to facilitate unanimity

The proposed European luxury surcharge is designed to address two inefficiencies at once: 1) suboptimal luxury tax rates driven by tax competition, and 2) suboptimal funding for the EU, in particular for EU-wide international public goods.

Alternatively, two separate EU-wide reforms could each address one of these problems. The first would introduce an EU-wide luxury tax whose revenue each member state retains. The second would require each member state to contribute additional funding to the EU, for instance in proportion to its GNI, as under the traditional funding scheme. We call this alternative the “separated approach”: each reform is voted on separately at EU level, and each requires unanimity.

The separated approach has been the dominant one, both globally and at EU level. The Global Minimum Tax on corporate income, for example, imposes no earmarking conditions: it addresses a race to the bottom in corporate income tax rates and, relatedly, the inefficiency of transfer-pricing-based tax avoidance. Funding for global funds for global public goods and redistribution is raised separately from any tax coordination. It is based on voluntary contributions and, in the case of the UN institutions, partly on assessed contributions calculated in proportion to GDP that countries have to pay to keep their voting rights at the UN general assembly.

The same is true at EU level. Most existing mechanisms for tax coordination impose rules on member states without any earmarking obligations. For example, there are restrictions on the set of VAT rates that member states are allowed to impose. Mostly, tax revenues are retained by member states. Small exceptions include the EU-wide plastic own resource that both addresses an international externality and contributes to the EU budget. However, most of the funding for the EU budget comes from GNI-based contributions and tax-based contributions (e.g. the required 0.3% of VAT tax base) do not (aim to) address tax competition or other under-taxation issues.

¹⁰similarly for other taxes such as excises. Given the above-mentioned administrative cost advantages of VAT, we focus on the VAT implementation.

¹¹Enhanced cooperation could also be explored. However, luxury taxation becomes more costly if only a subset of EU countries participates, given the induced displacement of the luxury consumption to EU countries that do not participate.

In the case of the EU, the separation approach might be motivated as follows. If the international public goods that the EU budget in part provides generate benefits that are roughly proportional to countries' GNI then funding them via GNI-based contributions (or VAT base contributions that themselves are roughly proportional to GNI) ensures that all countries are better off as a result, as long as the international public goods yield more than 1 EUR in aggregate benefits per 1 EUR spent on them, a condition synonymous with under-provision, which clearly is the case we are in.

Such exact proportionality between GNI and the benefits countries derive from additional EU spending is unlikely to hold in practice, which could explain the difficulty of agreeing on an expansion of GNI-based contributions. Likewise, some countries would not gain from EU-wide luxury taxes if the revenue were retained nationally. But if the countries opposing each of the two components — more EU spending, and more EU-wide luxury taxation — are not the same, the bundle may still garner unanimity.

9.2 Bundling to avoid aggravating other tax competition

A further argument in favor of the bundled approach embodied in the own-resource design is that, unlike the separated approach, it does not intensify competition on other, potentially hard-to-contract-on, tax instruments. Consider a separated approach under which an EU-wide minimum tax on luxury goods is adopted, with member states obliged to impose it but free to retain the revenue. Such a scheme would raise the value to each government of attracting, as fiscal residents, top earners who buy luxury goods, since the government would now collect the luxury tax on their purchases. The tax competition forces that depress top income tax rates in the EU (??) would thereby be intensified.

The own-resource design is very different: the new luxury tax revenue would create no strong additional incentive to attract high earners. Each government values a euro of revenue from the common luxury tax at much less than one euro, since it cannot retain that revenue and only a small share of the international public good benefits financed by EU spending accrues to it. Moreover, high earners who move to another member state still generate this revenue for the EU budget, further reducing any government's concern to attract them from elsewhere in the EU. As a result, the EU own resource design would not substantially aggravate top income tax competition within the EU, in contrast to the separated approach.

10 Domestic compensation

Throughout this report, we have focused on each country's economic interest at an aggregate level. We have argued that the proposed reforms could make each member state better off. This does not preclude some groups of workers in specific luxury sectors being made worse off. It is therefore important to combine the proposed reforms with domestic compensation schemes, so that ideally an overwhelming majority of the population in each member state gains. A detailed analysis of possible compensation schemes is beyond the scope of this report. However, we discuss some avenues for the different luxury sectors.

10.1